OUTSIDE OPTIONS: CREATE PARALLEL FINANCIAL INSTITUTIONS CONTROLLED BY THE BRICS (CASE 3)

Notwithstanding their incremental progress in pushing for greater influence within the World Bank and IMF, the BRICS have found it slow and strenuous to change the existing institutions from within. An alternative strategy is to exercise their outside options: they can step outside Western-controlled institutions to create new institutions answerable only to themselves. The pursuit of outside options to establish new institutions constitutes this chapter's third case of collective financial statecraft, contained in the upper-right cell in Table 3.2. According to Batista and other officials from BRICS countries, an important motivation to create new institutions was the prolonged inaction on governance reforms by "the Washington-based institutions."[101] Some American officials were also concerned about losing rising powers, but they were a minority, and there was no bipartisan consensus to act.[102] By 2015, former senior American officials, including Ben Bernanke, the former chairman of the Federal Reserve, and Lawrence Summers, the former Treasury Secretary, blamed the U.S. Congress for blocking the 2010 IMF agreement and mishandling the U.S. response to China's ambition to play a bigger role in the international economy.

The priority for investments to be made through such parallel institutions would be infrastructure, as BRICS policymakers find the current low levels of infrastructure funding—less than 10 percent of loans from the World Bank sources[103]—as sorely lacking.[104] The ADB estimates that $8 trillion in infrastructure financing will be required in the decade of the 2010s in Asia alone,[105] while the World Bank forecasts Africa's infrastructure financing for the decade needs to be about $93 billion annually.[106]

The momentum for a multilateral financial institution not controlled by the West has been building for some time. In the midst of the Asian financial crisis of the late 1990s, Japan (at the time the world's largest creditor country) attempted to create an Asian Monetary Fund, only to have the project resisted by the United States.[107] During the next decade, a number of global financial reform projects percolated among developing-country policymakers and sympathizers. In 2006, Venezuela launched a project to create a South American alternative to the World Bank and IMF: the Bank of the South.[108] In 2009, former World Bank chief economist and insider-turned-critic Joseph Stiglitz chaired a specially convened panel within the UNGA on revamping the global financial architecture, which generated a